

LLC STARTUP WORKBOOK

Form Your Business & Get Organized in 30 Days

Step-by-Step Guide to Starting
Your Business the Right Way

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This workbook is for educational purposes only. Consult a
licensed attorney and CPA for legal and tax advice.

BUSINESS STRUCTURE COMPARISON

SOLE PROPRIETORSHIP:

- No formation required (just start doing business)
- YOU are the business (no legal separation)
- Personal assets at risk if sued
- Simple taxes (Schedule C on personal return)
- Best for: Very low-risk side hustles, testing an idea

LLC (Limited Liability Company):

- Must file with your state (Articles of Organization)
- Separates personal assets from business liability
- Flexible tax options (sole prop, partnership, S-corp)
- Relatively easy to set up and maintain
- Best for: Most small businesses, freelancers, online businesses

S-CORPORATION:

- Must elect S-corp status with IRS (Form 2553)
- Can save self-employment taxes if income is high enough
- Requires payroll (you pay yourself a salary)
- More complex recordkeeping and tax filing
- Best for: Businesses with \$50K+ net profit consistently

WHICH DO I NEED?

Making under \$50K profit? --> LLC (taxed as sole prop)

Making \$50K-\$100K+ profit? --> LLC (elect S-corp status)

Multiple owners? --> LLC (multi-member) or Partnership

MY CHOICE: ☐ Sole Prop ☐ LLC ☐ S-Corp

Reason: _____

STATE FILING REQUIREMENTS

Every state has different LLC requirements. Research yours:

MY STATE: _____

FILING INFORMATION:

Secretary of State website: _____

Filing fee: \$ _____

Annual report fee: \$ _____ (due every: _____)

Processing time: _____ days/weeks

Online filing available? ☐ Yes ☐ No

DOCUMENTS NEEDED TO FILE:

☐ Articles of Organization (or Certificate of Formation)

☐ Registered Agent name and address

☐ Business name (confirmed available)

☐ Member/Manager names

☐ Business address

☐ Purpose of business (usually 'any lawful purpose')

ONGOING REQUIREMENTS IN MY STATE:

☐ Annual report filing: Due date ____/____

☐ Business license renewal: Due date ____/____

☐ Franchise tax: Amount \$ _____

☐ State tax registration

☐ Sales tax permit (if selling goods)

NOTES:

BUSINESS NAME BRAINSTORM

BRAINSTORM CRITERIA:

- Easy to spell and pronounce
- Available as a domain name (.com preferred)
- Available on social media platforms
- Not too similar to existing businesses (check trademarks)
- Available in your state (search SOS database)

MY IDEAS (write at least 10):

1. _____
2. _____
3. _____
4. _____
5. _____
6. _____
7. _____
8. _____
9. _____
10. _____

AVAILABILITY CHECK (for top 3 choices):

Name: _____

☐ State available ☐ Domain available ☐ Social available ☐ Trademark clear

Name: _____

☐ State available ☐ Domain available ☐ Social available ☐ Trademark clear

Name: _____

☐ State available ☐ Domain available ☐ Social available ☐ Trademark clear

MY FINAL BUSINESS NAME: _____

EIN APPLICATION WALKTHROUGH

An EIN (Employer Identification Number) is like a Social Security number for your business. You need one to open a bank account.

HOW TO GET YOUR EIN (free, takes 5 minutes):

1. Go to: irs.gov/businesses/small-businesses-self-employed/apply-for-an-employer-identification-number-ein-online
2. Click 'Apply Online Now'
3. Select entity type: LLC
4. Answer the questions about your business
5. You'll receive your EIN IMMEDIATELY online

INFORMATION YOU'LL NEED:

- ☐ Legal name of LLC (exactly as filed with state)
- ☐ Your SSN (as responsible party)
- ☐ Business address
- ☐ State where organized
- ☐ Date business started (or will start)
- ☐ Principal business activity
- ☐ Number of employees expected (can be 0)

IMPORTANT NOTES:

- This is FREE from the IRS. Never pay a third party.
- Apply only AFTER your LLC is approved by the state
- Keep your EIN confirmation letter forever
- You can only apply M-F 7am-10pm EST online

MY EIN: ____ - _____

Date obtained: ____/____/____

Filed confirmation letter: ☐ Yes

OPERATING AGREEMENT TEMPLATE GUIDE

Even single-member LLCs need an Operating Agreement. It proves your LLC is separate from you personally (protects liability shield).

KEY SECTIONS TO INCLUDE:

1. COMPANY INFORMATION

Business name: _____

Address: _____

State of formation: _____

Date formed: ____/____/____

Purpose: _____

2. MEMBERSHIP (who owns what)

Member 1: _____ Ownership: ____%

Member 2: _____ Ownership: ____%

3. MANAGEMENT STRUCTURE

☐ Member-managed (all owners manage)

☐ Manager-managed (designated manager)

4. CAPITAL CONTRIBUTIONS

Initial investment: \$_____

5. PROFIT/LOSS DISTRIBUTION

How will profits be split? _____

6. DISSOLUTION

Under what conditions can the LLC be dissolved?

NOTE: Use a template or have an attorney draft this.

Keep a signed copy with your business records.

REGISTERED AGENT SELECTION

A Registered Agent receives legal documents on behalf of your LLC.

Every state requires one. Options:

OPTION 1: BE YOUR OWN REGISTERED AGENT (free)

Requirements: Physical address in your state (not P.O. Box)

Must be available during business hours

Your address becomes PUBLIC record

Best for: People with a commercial office address

OPTION 2: HIRE A REGISTERED AGENT SERVICE (\$50-300/year)

They provide an address and forward documents to you

Keeps your home address private

Never miss important legal notices

Best for: Home-based businesses, privacy-conscious owners

MY CHOICE: ☐ Self ☐ Service

IF USING A SERVICE:

Company: _____

Annual cost: \$_____

Address provided: _____

IF BEING MY OWN:

Address to use: _____

Available during business hours? ☐ Yes ☐ No

BUSINESS BANK ACCOUNT SETUP

NEVER mix personal and business money. This is how you lose your liability protection. Open a separate business account.

WHAT YOU NEED TO OPEN AN ACCOUNT:

- ☐ EIN letter from IRS
- ☐ Articles of Organization (state-approved)
- ☐ Operating Agreement
- ☐ Government-issued photo ID
- ☐ Initial deposit (varies by bank)

WHAT TO LOOK FOR IN A BUSINESS BANK:

- ☐ No or low monthly fees
- ☐ Free transactions (enough for your volume)
- ☐ Online banking and mobile deposit
- ☐ Integration with bookkeeping software
- ☐ Business debit card
- ☐ Good customer service

POPULAR OPTIONS:

- Local credit union (often lowest fees)
- Chase Business (widespread ATMs)
- Mercury/Novo (online, great for startups)
- Relay (designed for small business)

MY BANK: _____

Account type: ☐ Checking ☐ Savings ☐ Both

Monthly fee: \$____ Free transactions: ____

Account opened: ____/____/____

RULE: Every business dollar goes through this account.

Every personal dollar stays in personal accounts.

BOOKKEEPING SYSTEM SETUP

You don't need to be an accountant. You need a SYSTEM.

SIMPLE CATEGORY TRACKING (at minimum, track these):

INCOME CATEGORIES:

- ☐ Product sales
- ☐ Service income
- ☐ Other income: _____

EXPENSE CATEGORIES:

- ☐ Advertising & marketing
- ☐ Office supplies
- ☐ Software & subscriptions
- ☐ Professional services (legal, accounting)
- ☐ Insurance
- ☐ Inventory/materials (COGS)
- ☐ Shipping & delivery
- ☐ Travel & transportation
- ☐ Meals (50% deductible if business-related)
- ☐ Education & training
- ☐ Home office (if applicable)
- ☐ Phone & internet (business portion)
- ☐ Bank fees & merchant fees
- ☐ Other: _____

BOOKKEEPING SOFTWARE:

- ☐ QuickBooks Self-Employed (\$15/mo)
- ☐ Wave (free)
- ☐ FreshBooks (\$17/mo)
- ☐ Spreadsheet (free but manual)

My system: _____ Set up date: ____/____/____

TAX OBLIGATIONS OVERVIEW

As a business owner, taxes are YOUR responsibility. No one withholds them for you. Plan ahead or get a painful surprise.

QUARTERLY ESTIMATED TAXES (due 4x/year):

Q1: April 15 Q2: June 15

Q3: September 15 Q4: January 15

WHAT YOU OWE:

- Federal income tax (your bracket: likely 22-32%)
- Self-employment tax (15.3% on net profit)
- State income tax (varies by state: ____%)

RULE OF THUMB: Set aside 25-30% of every dollar you earn.

WHERE TO SAVE TAX MONEY:

Open a separate savings account JUST for taxes.

Every time you get paid: transfer 30% to tax savings.

MY TAX SETUP:

Tax savings account at: _____

Percentage I'll set aside: ____%

CPA/Tax preparer: _____

Estimated quarterly payment: \$_____

DEDUCTIONS TO TRACK:

Every business expense reduces your taxable income.

Keep ALL receipts. Use your bookkeeping software.

Mileage log for business driving (\$0.67/mile in 2024)

IMPORTANT: Hire a CPA for your first year. It's worth it.

BUSINESS INSURANCE CHECKLIST

Insurance protects you when things go wrong. Consider these:

GENERAL LIABILITY INSURANCE

Covers: Third-party injuries, property damage, lawsuits

Who needs it: Almost every business

Typical cost: \$30-100/month

Needed? ☐ Yes ☐ No ☐ Research more

PROFESSIONAL LIABILITY (E&O) INSURANCE

Covers: Mistakes, negligence, failure to deliver

Who needs it: Service-based businesses, consultants

Typical cost: \$50-150/month

Needed? ☐ Yes ☐ No ☐ Research more

PRODUCT LIABILITY INSURANCE

Covers: If your product injures someone

Who needs it: Anyone selling physical products

Needed? ☐ Yes ☐ No ☐ Research more

BUSINESS PROPERTY INSURANCE

Covers: Equipment, inventory, office contents

Needed? ☐ Yes ☐ No ☐ Research more

CYBER LIABILITY INSURANCE

Covers: Data breaches, cyber attacks

Needed? ☐ Yes ☐ No ☐ Research more

MY INSURANCE PLAN:

Provider: _____ Monthly cost: \$_____

Coverage obtained: ____/____/____

BUSINESS LICENSES & PERMITS

Depending on your industry and location, you may need permits:

CHECK WITH THESE SOURCES:

- ☐ City/county clerk (local business license)
- ☐ State licensing board (professional licenses)
- ☐ Federal agencies (industry-specific: FDA, FCC, etc.)
- ☐ Zoning department (if home-based business)
- ☐ Health department (if food/beauty related)

COMMON LICENSES/PERMITS BY INDUSTRY:

Online business: Usually just state LLC + local license

Food business: Health permits, food handler's cert

Beauty/wellness: Cosmetology/massage license

Construction: Contractor's license, bonding

Childcare: Licensing, background checks, inspections

Professional services: CPA, attorney, therapist license

MY REQUIRED LICENSES/PERMITS:

1. _____ Cost: \$____ Due: ____/____
2. _____ Cost: \$____ Due: ____/____
3. _____ Cost: \$____ Due: ____/____
4. _____ Cost: \$____ Due: ____/____

SALES TAX:

Do I sell taxable goods/services? ☐ Yes ☐ No

Sales tax permit needed? ☐ Yes ☐ No

Sales tax rate in my area: ____%

Remit sales tax: ☐ Monthly ☐ Quarterly ☐ Annually

30-DAY LLC FORMATION TIMELINE

WEEK 1: FOUNDATION

- [] Day 1-2: Choose business structure (page 3)
- [] Day 2-3: Brainstorm and verify business name (page 5)
- [] Day 3-4: Research state requirements (page 4)
- [] Day 4-5: Choose registered agent (page 8)
- [] Day 5-7: File Articles of Organization with state

WEEK 2: LEGAL SETUP

- [] Day 8-9: Wait for state approval (file expedited if available)
- [] Day 9-10: Apply for EIN (page 6)
- [] Day 10-12: Draft Operating Agreement (page 7)
- [] Day 12-14: Research insurance needs (page 12)

WEEK 3: FINANCIAL SETUP

- [] Day 15-16: Open business bank account (page 9)
- [] Day 16-17: Set up bookkeeping system (page 10)
- [] Day 17-18: Set up tax savings account (page 11)
- [] Day 18-20: Research business licenses needed (page 13)
- [] Day 20-21: Apply for any required licenses/permits

WEEK 4: GETTING READY TO OPERATE

- [] Day 22-23: Set up business email and domain
- [] Day 23-24: Create basic website or social profiles
- [] Day 24-25: Set up invoicing/payment system
- [] Day 25-27: Order business cards/materials if needed
- [] Day 27-28: Get insurance policy in place
- [] Day 28-30: Create first marketing materials
- [] Day 30: LAUNCH! Start serving customers

IMPORTANT DOCUMENTS CHECKLIST

Keep these documents safe (both digital and physical copies):

FORMATION DOCUMENTS:

- ☐ Articles of Organization (state-stamped copy)
- ☐ Operating Agreement (signed)
- ☐ EIN confirmation letter
- ☐ Business license(s)
- ☐ Registered agent documentation

FINANCIAL DOCUMENTS:

- ☐ Bank account information
- ☐ Insurance policies
- ☐ Tax returns (keep 7 years)
- ☐ Quarterly tax payment confirmations
- ☐ All receipts and invoices

ONGOING:

- ☐ Annual report filings
- ☐ Meeting minutes (even if just you)
- ☐ Contracts with clients/vendors
- ☐ Intellectual property registrations

STORAGE LOCATIONS:

Physical copies: _____

Digital backup: _____

(Use cloud storage: Google Drive, Dropbox, etc.)

FIRST-YEAR MILESTONES:

- ☐ First sale/client: Date ____/____/____ Amount: \$_____
- ☐ First \$1,000 month
- ☐ First quarterly tax payment made
- ☐ First annual report filed
- ☐ Break-even point reached

ESTIMATED STARTUP COSTS

FORMATION COSTS (one-time):

State filing fee: \$ _____
Registered agent (if using service): \$ _____
Operating agreement (if attorney): \$ _____
Business license: \$ _____
Domain name: \$ _____
Website setup: \$ _____
Logo/branding: \$ _____
Business cards: \$ _____
Initial inventory/supplies: \$ _____
SUBTOTAL: \$ _____

MONTHLY RECURRING COSTS:

Bookkeeping software: \$ _____/mo
Insurance: \$ _____/mo
Phone/internet (biz %): \$ _____/mo
Software/subscriptions: \$ _____/mo
Marketing/advertising: \$ _____/mo
Other: \$ _____/mo
MONTHLY TOTAL: \$ _____/mo

TO BREAK EVEN I NEED TO EARN: \$ _____/month

MY FUNDING SOURCE:

[] Personal savings: \$ _____
[] Revenue from sales
[] Loan/credit: \$ _____
[] Other: \$ _____

TOTAL STARTUP BUDGET: \$ _____